جامعة عفت
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Service Operations Management Analysis of a 3PL Provider in Saudi Arabia

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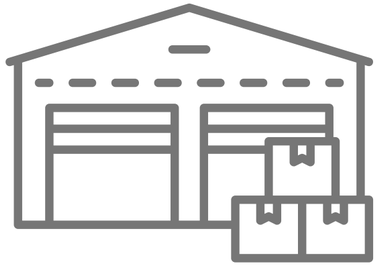
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Introduction to the Study

- Saudi Arabia’s logistics sector is growing under Vision 2030.
- The study focuses on a 3PL company in Saudi Arabia.
- The company provides warehousing, transportation, inventory management, packaging, and distribution.
- Main issue: product damage affecting quality and customer satisfaction.







Strategy of the Company

Mission of the Company

- Deliver reliable, timely, and value-added logistics services
- Ensure accurate inventory control and complete product care

Core Competence

- Integrated end-to-end logistics solutions
- Strong capabilities in healthcare, FMCG, and retail supply chains

Selected Strategy

- Mainly differentiation (quality, reliability, value-added services)
- Supported by response strategy (speed and flexibility)

Types of Strategies

- Low-cost strategy
- Differentiation strategy
- Response strategy



- Lean Six Sigma (DMAIC)
- FMEA

Productivity Measurement

- KPIs: damage rate, lead time, order accuracy, quality compliance



Figure 1: SWOT Analysis

Capacity Management Framework

Current Capacity

- AutoStore boosts throughput significantly
- 1–2 day delivery coverage across Saudi Arabia
- Capacity is sufficient for normal demand
- Peak times may need temporary labor or outsourcing

Tech-based, flexible capacity strategy

Focus on **elasticity**: scaling up/down based on demand
Automation (AutoStore): 4× productivity, >99% availability, high storage density
AI Forecasting (Galys Monitor): real-time inventory & workflow KPIs, better demand planning
Strategic Real Estate: warehouse network in 7 major Saudi cities + Riyadh Logistics Park as high-capacity hub

Supporting Practices

- Real-time inventory monitoring
- Cross-docking to reduce idle storage
- Smooth operations even during peak demand

Planning, Strategy & Competitive Fit

Short-term vs Long-term Planning

Short-term: temp labor, shift changes, delivery schedule adjustments

Long-term: logistics park development, warehouse expansion

Capacity Strategy

Lead Capacity Strategy: Build capacity before demand increases.

- Avoids bottlenecks
- Smooth operations during demand spikes
- Quick response to market changes
- Maintains high service levels (speed, reliability, accuracy)

Fit to Competitive Strategy

- Faster, reliable delivery
- Higher accuracy in order fulfillment
- Strong advantage for FMCG & healthcare logistics
- Supports company reputation for dependable 3PL services

Process Selection & Facility Layout

Process Design

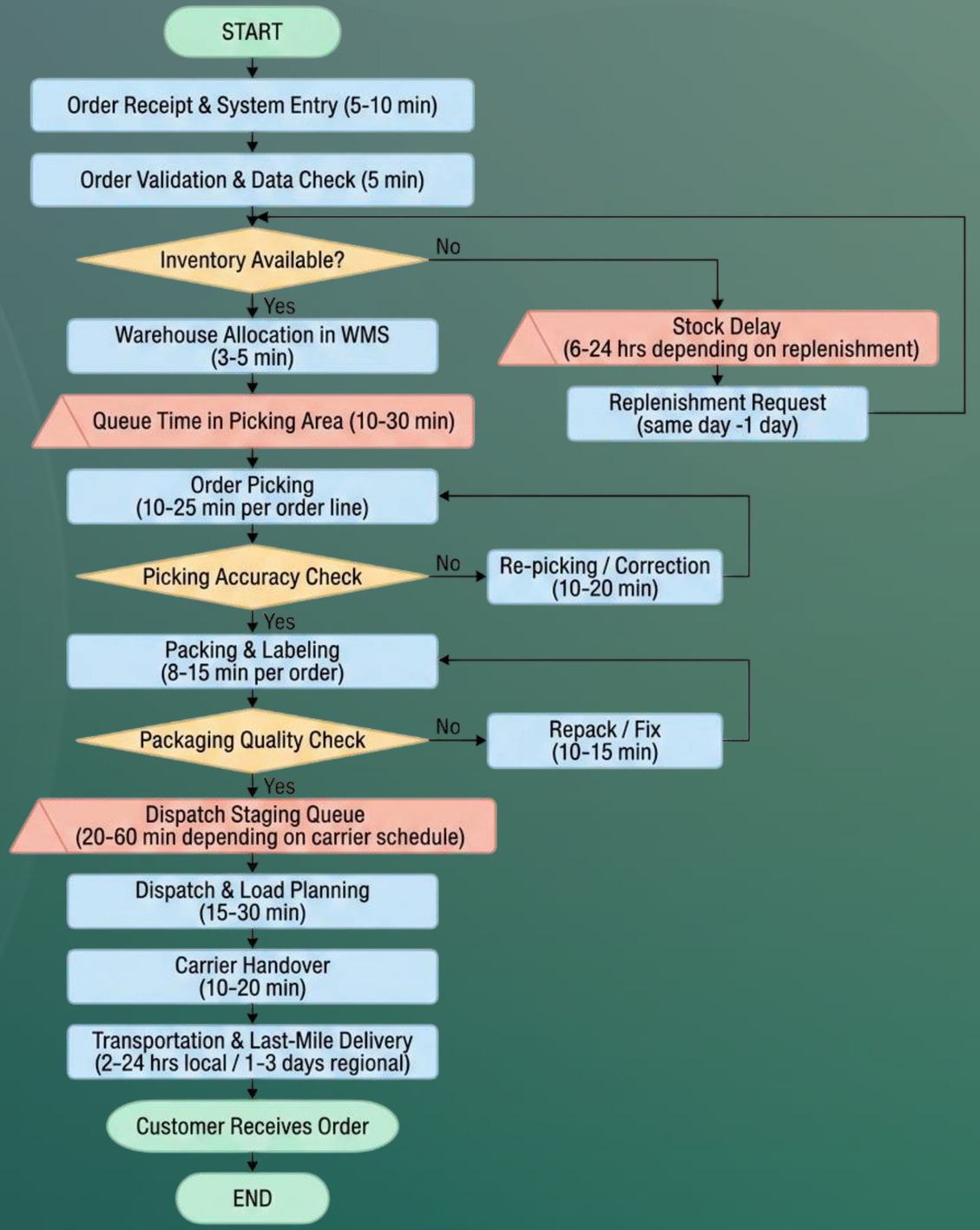
- High-volume, standardized order fulfillment
- Handles large SKU variety (FMCG + pharmaceuticals)
- Organized, continuous workflows for accuracy
- Zone-based picking for faster processing
- Modular automation & goods-to-person systems

Outcome: high efficiency, speed, and precision

Facility Layout

- Hybrid layout with high-density vertical storage
- Dedicated zones: pharma, FMCG, order preparation
- Narrow aisles + cross-docking for minimal travel time
- Controlled environments for product safety

Outcome: smooth flow, quick access, reliable dispatch



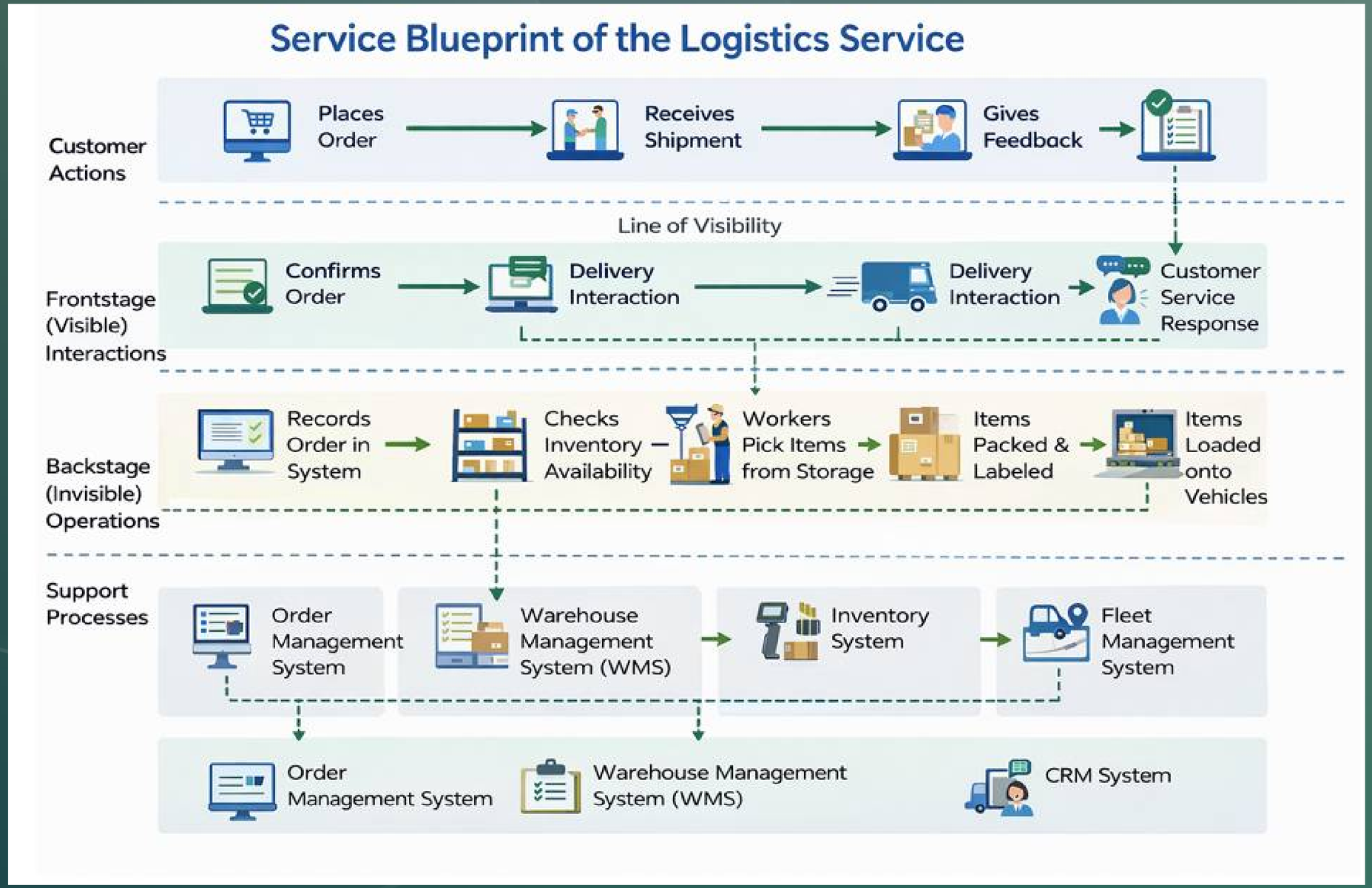


Figure 3: Service Blueprint

Service Design

- End-to-end integrated logistics system
- Modular services based on client needs
- Technology-driven (WMS, real-time tracking, automation)
- Standardized + flexible operations
- Supports:
- Differentiation (quality, accuracy)
- Responsiveness (speed, flexibility)

Considers:

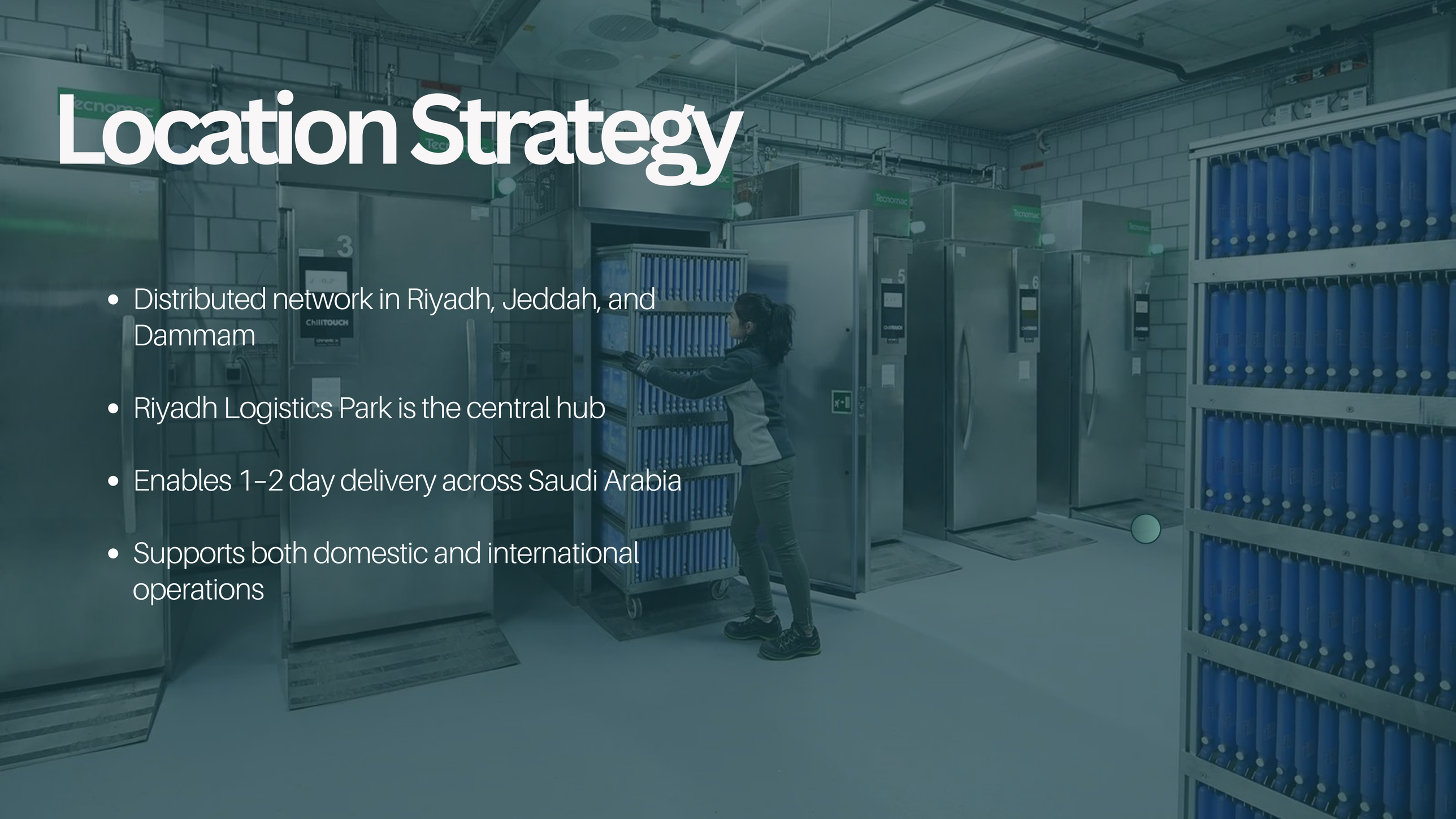
- Legal (regulations compliance)
- Ethical (safe handling, data protection)
- Sustainability (fuel reduction, waste minimization)

Example: temperature-controlled storage for pharmaceuticals improves service quality





Location Strategy



- Distributed network in Riyadh, Jeddah, and Dammam
- Riyadh Logistics Park is the central hub
- Enables 1–2 day delivery across Saudi Arabia
- Supports both domestic and international operations

Quality Management

- Critical for customer satisfaction and efficiency
- Main issue: product damage during handling
- Focus on high service quality and reliability
- Supported by automation and structured processes

Quality Improvement

- Lean Six Sigma (DMAIC) and FMEA used
- Automation and tracking reduce human error
- Employee training improves handling accuracy
- Need to improve packaging and reduce damage

Conclusion & Recommendations



Key Findings

- Strong operations + advanced technology
- Strategy is successfully implemented (differentiation + responsiveness)
- Main issue: product damage
- Future growth: Vision 2030 + e-commerce

Recommendations:

- Improve packaging & handling
- Increase employee training
- Invest in AI & forecasting
- Strengthen quality control

Thank You